RATIO OF INVESTIBLE PORTFOLIO TO SUPPORT ASSETS

The last thing to calculate in a personal balance sheet is the ratio of the investible portfolio to support assets. If the proportion of assets in the investible portfolio is very high, it indicates that we are placing a significant portion of what we own under investments and we have a very slim support asset base. However, the upside to this is that more assets will be put to the financially best asset class.

On the other end, if the ratio is too low, it shows that we have put very little under 'Investible Portfolio'. It reflects that a majority of our assets are put to use inefficiently and the chances of meeting all our goals have gone down to as little as invested.

Thus, it is very critical to find a ratio where we are not only comfortable with the 'Support Assets' that we have but also put enough in the investible portfolio to meet our goals. Balance is the key here.

Remember, no financial plan can ever be followed if we are not comfortable with the asset bifurcation. If it keeps us awake at night, the plan is not effective and will not last long. Moreover, we should be doing this bifurcation alone and within 10 minutes. The more time we give ourselves, the messier the thoughts are likely to become. And with this, we have finally created our personal balance sheet. Hurray! It's a great start. Next, we will learn to create a personal income statement.

$$\textbf{RATIO} = \frac{\textbf{INVESTIBLE PORTFOLIO}}{\textbf{SUPPORT ASSETS}}$$